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PROS & CONS Firm is growing fast and is profitable, but the uncertain outlook makes issue suitable for investors with higher risk appetite

Affle IPO a Good Bet on High Growth Sector, but Richly Valued

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ET Intelligence Group: Affle (India), a provider of mobile advertising solutions, plans to raise ₹90 crore through fresh issue of shares to fund working capital and general corporate purposes. Its Singapore-based parent, Affle Holdings, will reduce its stake in Affle (India) to 75.6% from 83.5% by offloading shares worth up to ₹369 crore.

The company's operations are growing fast and profitable with strong return ratios and no long-term debt. Its demanded valuation appears to take into account the future growth potential. Considering these factors and higher stock market volatility, investors with higher risk appetite may consider investing in the initial public offer (IPO).

IPO Watch

Issue Price: ₹740-745	Issue Size: Upto ₹459 cr
Issue Dates: July 29-31 2019	Asked Market Cap: Upto ₹1,900 cr
Lot Size: 12 shares	

BUSINESS AND FINANCIALS

The company was incorporated in 1994 as Tejus Securities Pvt Ltd. It received a fresh certificate of incorporation in 2006 after it changed the name to Affle (India) Pvt Ltd. In 2018, it was converted to a public limited company named Affle (India) Ltd.

Leading global advertising agencies and large companies in the consumer and e-commerce spaces are clients of Affle (India). Over 97% of the revenue is from the consumer platform driven by the cost per converted user (CPCU) model.

This means the company receives payment only when a mobile user either downloads the application of Affle's client or carries out a transaction through its platform. This offers a better value proposition to clients compared with other advertising solutions that rely largely on number of clicks or visits per web page.

On a proforma basis, that is after including the full-year revenue from the acquired entity Vizury Interactive solutions, Affle (India) reported ₹269 crore in revenue and ₹52 crore in net profit in FY19. Of this, 44% was from India and the rest was from South East Asia, Middle East and Africa, North America, Europe, Japan, South Korea and Australia.

RISK FACTORS

Affle's business relies on advertising volumes, which depends upon consumer demand and propensity. During uncertain economic scenario, any reduction on advertising budgets by clients will affect business. In addition, entry of other companies in future will increase competition, reducing profitability.

VALUATION

At the upper end of the price band and considering the post-IPO equity, the price-earnings ratio works out to be 36.5 on proforma basis. There are no listed peers in India. Listed firms such as Brightcom Group, which provides in-video advertising, differs from Affle in its business model.

Affle (India) reported return on equity of 67% in FY19. While the company operates in a fast growing sector, the rich valuation and uncertain market outlook makes the IPO more suitable to investors with higher risk appetite.

(Discalimer: Bennett, Coleman and Company Ltd (BCCL), the publisher of ET, holds 5.2% stake in Affle Holdings Pte Ltd, the promoter of Affle (India).)